

Arriving in Canada

A guide for foreign employees working in Canada

Global Mobility Services

Part of the Arrivals and Departures Series



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Welcome

In it we explain, in broad terms:

- residency for Canadian tax purposes
- various Canadian tax administrative matters
- commonly applicable Canadian tax rules
- general information related to the treatment of pension plans
- information about tax equalization
- pre-arrival tax-related matters
- information about Canada's "departure tax"
- miscellaneous matters of general interest to people immigrating to Canada
- special issues of interest to U.S. citizens and green card holders

This guide was written with you in mind – a foreign national working in Canada as an employee

This guide is not meant to provide a thorough review of the Canadian income tax rules. Instead, it provides information we think you need to know to:

- ensure that you understand enough to know when to ask a question
- help you provide us with sufficient information to help ensure your compliance with the myriad of filing requirements you face as a result of moving here

Because every situation is unique, the information provided in the guide is general, in nature. Your PricewaterhouseCoopers (PwC) representative can answer questions about your personal position and about how the information discussed in this guide might impact you.

For more up-to-date information on tax rates, allowances and specific provisions that may have changed since publication of this guide, visit the PwC websites listed in Appendix C.

Part 1: Canadian residency

Canada imposes tax on individuals based on their status as either a resident or non-resident. Individuals resident in Canada during a tax year are subject to Canadian tax on their worldwide income from all sources. Non-residents, on the other hand, are subject to Canadian tax only on Canadian source income. Therefore, the determination of your residency is crucial for Canadian tax purposes.

Unfortunately, there is no simple, clear-cut rule for determining residency for Canadian purposes. For example, the date of your actual landing in Canada for immigration purposes does not definitively determine your residency for tax purposes. Residency is a question of fact and Canadian courts have established a number of criteria that the Canada Revenue Agency (CRA) uses to determine residency for tax purposes.

The criteria CRA applies are intended to determine whether you have established sufficient residential ties in Canada to be subject to tax here on your worldwide income. The terms and conditions of your assignment in Canada will be considered. Documentation suggesting you will be in Canada indefinitely may be sufficient for establishing Canadian residency. Obtaining "Landed Immigrant" status (permanent residency for immigration purposes) generally constitutes significant residential ties with Canada, but this alone will not make you a tax resident.

Any one of the following residential ties will almost always be considered significant enough to establish Canadian residence for tax purposes:

- having your spouse or common law partner move to Canada
- having your dependents move to Canada
- renting out the house you lived in before moving to Canada to a non-related party on a long-term basis, or selling it and establishing a new dwelling place (rented or purchased) in Canada

Absent the existence of one of the above significant residential ties, CRA will consider the following secondary residential ties collectively in determining whether you are resident in Canada:

- moving your personal property to Canada
- establishing social ties in Canada (such as membership in recreational organizations)
- establishing economic ties in Canada (such as bank accounts, credit cards and securities accounts)
- obtaining coverage under a provincial health insurance plan

Because you will be taxed in Canada on your worldwide income once you become resident, determining the date that your Canadian residency starts is important. (You must indicate the date you arrived on the information section of your tax return.) Generally speaking, you are considered a resident once you have entered the country and established residential ties here.

Deemed resident

There are situations, however, when you can be “deemed” a Canadian resident for the whole year, even if you were not actually a resident in Canada for the whole year. Under the deeming rules, if you were temporarily present in Canada at least 183 days in the calendar year, you will be considered to be a “sojourner” and therefore a “deemed” Canadian resident for the whole year (and subject to tax on your worldwide income that year).

Residence determined by tax treaty

Canada has entered into tax treaties with many countries. To resolve situations where both Canada and the foreign country determine you are resident in their country for tax purposes, the treaties contain “tie-breaker” rules. In effect, the tie-breaker rules override each country’s domestic laws to ensure you’re not subject to taxation as a resident by more than one country.

The tie-breaker rules generally determine residence by reference to the location of your permanent home, personal and economic relations, habitual abode and citizenship. Your PwC representative will determine whether it is necessary to use a treaty to determine your residence.

Provincial and/or territorial taxes

When you establish Canadian residency, you will also become a resident of a province or territory. Income tax is levied in Canada at the federal level and at the provincial or territorial level. Residents generally must pay tax to the province or territory where they lived on December 31.

If you live in any province or territory other than Québec, you are only required to file one income tax return: a federal form with separate schedules for calculating provincial tax. If you live in Québec, you must file both a federal income tax return and a Québec tax return.

Date residency begins

CRA and the Minister of Revenue of Québec’s (“MRQ’s”) administrative policy, is that if you have established residency, the date your residency begins is generally the latest of:

- the date you entered Canada/Québec
- the date you terminated residence in the foreign country
- the date your family entered Canada/Québec

Keeping track of your days

Keeping track of your days in Canada and outside the country with *myMobility* is easy, and doing so will help with:

- determining your residency
- ensuring you receive all foreign tax credits you are entitled to
- proper pro-rating of income between Canada and another country
- proper pro-rating of Canadian tax credits you are entitled to (such as the basic personal amount, tuition credits, etc.)

CRA confirmation of your residence status - There may be situations where you need to complete Form NR74: Determination of Residence Status (Entering Canada). Your PwC representative will advise you regarding whether to file this form.

Part-year residents

If you are a part-year resident of Canada (and are not “deemed resident” for the whole year as a “sojourner”) your arrival year return will cover two periods:

1. a resident period
2. a non-resident period

Resident period in Canada

You are subject to tax on all your worldwide income from the date you become a Canadian resident. This includes interest, dividends, and rental income, regardless of whether the income is derived from a source in Canada. To the extent income included in your worldwide income is from foreign sources, you may be entitled to claim foreign tax credits.

Also, you can claim deductions, such as Canada/Québec Pension Plan and Employment/Québec Parental Insurance premiums, medical expenses (if they apply to the resident period) and charitable donations in full.

Non-resident period

Canada taxes non-residents on income they earn in Canada. For example, if you performed employment duties while physically in Canada, you are considered “employed in Canada” and are subject to tax in Canada on amounts earned while here. In addition, if you receive a bonus or other payment for a prior year that relates to services you performed in Canada, that amount must be reported on a Canadian tax return in the year you receive the payment.

You may be exempt from paying Canadian tax on Canadian-source employment income if you qualify under a tax treaty between Canada and your country of residence.

For further details, please speak with your PwC representative.

Part 2: Tax administrative matters

The tax year for individuals is the calendar year. Personal income tax returns must be filed annually and are due by April 30th of the year following the end of the previous taxation year. April 30th is also the deadline for paying any tax that may be due. (Self-employed individuals have until June 15th to file but any tax owing is still due by April 30th.)

Canada levies fines for:

- failure to file a return that should be filed
- late filing of returns
- insufficient payment of tax

In addition, CRA charges interest on late payments. Refer to Appendix B for details of the deadlines and interest rates. Canada does not grant extensions for filing tax returns after April 30th.

Every individual with income sufficient to create a tax liability must file his or her own tax return. Canada does not permit filing of joint returns by spouses. Because of this, it is a good idea to clearly segregate investment funds between spouses. Failure to do so may result in attribution of income to the spouse with the higher income. If your spouse is required to file a Canadian tax return, but is not eligible to receive a Social Insurance Number, he or she will need to obtain an Individual Tax Number.

Employer source deductions

Employers are required to deduct and remit income taxes based on the individual's employment income, including benefits and assignment-related allowances. In addition, employers are required to deduct, at source, contributions to the Canada Pension Plan (CPP) or the Québec Pension Plan (QPP) and for contributions to the Employment Insurance (EI) program and the Québec Parental Insurance Plan (QPIP).

Canada has entered into social security agreements with some countries that may eliminate the requirement for an employee to pay into the CPP. The province of Québec has entered into similar agreements regarding the QPP. These agreements generally only apply if you are transferred to Canada for a limited period and continue to be covered by a comparable plan in your home country. PwC can advise you about whether one of these agreements applies in your situation.

Instalment requirements

As an employee, all or most of the income tax you might owe likely will be withheld from your salary or wages and remitted on your behalf by your employer. If, however, you received income on which tax has not been withheld, you may have to make quarterly tax instalments, for example, if you receive rental, investment, self-employment, or certain pension payments. If your salary is paid in full or part by a foreign company that does not establish a Canadian payroll system, you may have to make quarterly remittances on your own behalf. Payment of a lump sum at the end of the year is not advised, as you will likely be subject to significant late payment penalties and interest.

You are not required to pay by instalments in the first year you are resident in Canada. But, in any year after your first year here, if the net tax (federal and provincial) you owe for the year and in either of the two preceding years is more than \$3,000 you must make instalment payments for the current year. (If you reside in Québec the threshold is \$1,800, excluding Québec income tax.)

Instalment payments for each year are due on March 15, June 15, September 15 and December 15. Once the need to make instalment payments is established, CRA and MRQ normally send instalment reminders. Please contact your PwC representative to discuss whether you may have to make instalment payments.

Part 3: Specific types of income

Though a complete description of all types of income is beyond the scope of this guide, there are a few types of income fairly common among international assignees that we thought may be of interest to you. If you have any questions about types of income not discussed here, contact your PwC representative.

Income from rents, royalties and dividends

Generally, income from property is taxed at normal marginal rates. Dividends from non-Canadian corporations are taxed at normal marginal rates. Dividends from Canadian corporations are subject to a special dividend gross-up/tax credit mechanism that is intended to offset the double tax that results when income earned and taxed at the corporate level is subject to tax again at the individual level. As a result, the effective tax rate on dividends from Canadian corporations is lower than that for other ordinary income.

Capital gains and losses

Capital gains are generally calculated as the difference between the proceeds of disposition and the actual or deemed cost of the asset, less any costs of disposition. One half of your net capital gains is included in your income and is taxed at normal marginal rates. If you acquire an asset prior to establishing Canadian residency, the fair market value of the asset on the date you enter Canada will be your adjusted cost base for Canadian purposes.

Capital losses derived on the sale of a capital asset may only be deducted from capital gains. If you do not have sufficient capital gains to offset your capital losses in a given year the excess can be carried forward indefinitely for use in future years, or carried back up to three years to reduce capital gains reported earlier.

The disposition of any assets acquired in non-Canadian funds could result in foreign exchange gains or losses.

Tax implications of home ownership in Canada

There are no special tax rules applicable when you purchase a home in Canada (nor are there any restrictions on non-citizens purchasing real property in Canada), but you should note that interest on loans incurred to purchase property not used for earning income is not deductible. Property taxes and other carrying costs related to the purchase of a home also are not deductible.

If you have a gain when you sell a home in Canada that was treated as your “principal residence” you will not be subject to capital gains tax on the disposition so long as two conditions are met:

1. you have been a Canadian resident for the entire period you owned the home; and
2. the home was always your principal residence

A portion of the gain could be subject to tax if you sell your Canadian home while you are a non-resident. Alternatively, if the home has not been your principal residence for the entire period you owned it, a portion of the gain on disposition will be included in your income. The following formula is used to determine the exempt portion of the gain:

$$\frac{1 + \# \text{ of years you were a resident of Canada and the property was your principal residence}}{\# \text{ of years you owned the home}}$$

Therefore, if you cease Canadian residency in year X, for the entire gain to be exempt you must sell it in year X+1. For the purposes of this formula, a part year will count as a year.

Special rules apply to ensure a family only designates one principal residence for tax purposes at any given time. If you sell your principal residence, you must designate it as your principal residence on the tax return for that year in order to be exempt from capital gains taxation.

Foreign Buyers Tax/Non Resident Speculation Tax

If you are not a Canadian citizen or a Permanent Resident Card holder at the time of purchase, you will be subject to a special tax on the purchase of a home in certain parts of Ontario (15%) and British Columbia (20%). Please contact your PwC representative for further details.

Capital gain on the sale of a home in another country

Any gain you derive on the sale of a property while a Canadian resident is taxable in Canada. If you sell what used to be your principal residence in another country after taking up Canadian residence, the gain will be subject to Canadian tax. Because of Canada's deeming provisions (explained more fully below in the section "Part 6: Departure tax and reporting requirements when you leave"), the gain will be the difference between the fair market value of the home on the date you became resident in Canada (not your original cost) and your proceeds less costs incurred to sell it. In addition, this sale could result in a foreign exchange gain.

If you inhabit the foreign home after you establish Canadian residency, you may be able to shelter some or all of the gain using the formula noted above.

Form T776, Statement of Real Estate Rentals can be downloaded from the Canada Revenue Agency's website at <https://www.canada.ca/en.html> and Québec form TP-128v at www.revenuquebec.ca.

Income from rental property

Income from rental property is treated as investment income and taxed as ordinary income, regardless of where the property is situated. For example, if you earn income from renting out a residence in your home country, that income is subject to tax in Canada at normal marginal rates. In determining the net rental income, you can deduct expenses incurred in earning rental income (such as property taxes, mortgage interest, utilities, etc.).

The amount of capital cost allowance (CCA, or tax depreciation) you can claim is limited: you can only claim CCA up to an amount that reduces the rental income to zero. In other words, you cannot create a loss as a result of claiming CCA. If rental expenses (not including capital cost allowance) exceed rental income, so long as you have a reasonable expectation of future profit from the rental property, you should be able to offset the rental loss against your other income.

Stock options

Stock options generally are taxed when exercised. The "spread" between the market value of the shares and your exercise price is taxed as employment income. A special "stock option deduction" equal to 50% (25% for Québec tax purposes; 50% for options granted after February 21, 2017 and some conditions are met) of the amount included in income may apply. Your PwC representative can tell you more about the treatment of an exercise of stock options in your situation.

Part 4: Pension plans

Foreign pension plans

When you establish Canadian residency, there may be tax consequences if your employer continues contributing to a foreign pension plan on your behalf. If you were a member of a foreign pension plan before establishing Canadian residence, you will not be taxed on contributions to the plan by an employer so long as you are a resident in Canada for less than a total of 60 months. Beyond 60 months, there will be tax consequences if your employer continues to contribute to a foreign pension plan on your behalf. If your employer makes a special election, however, the tax consequences may be nil. Your PwC representative can provide you and your employer with further information.

A deduction may be available to individuals for contributions they may make to employer-sponsored pension plans. If you were a member of the foreign pension plan before establishing Canadian residence, you may be eligible for a deduction (up to a limit) for your contributions as long as you are a resident in Canada for less than a total of 60 months and a tax treaty exists between Canada and your home country.

If you receive distributions from a foreign pension plan while resident in Canada, such amounts generally are taxable in Canada. As well, Canadian tax issues can arise when you receive amounts from the plan even after you leave Canada. The issues depend on how the plan was treated:

- for tax purposes while you resided in Canada
- in the country you reside in when you receive the amounts

Contact your PwC representative to discuss the complex issues related to foreign pension plans.

Contributions to Registered Retirement Savings Plans

To encourage people to save for their retirement, Canada allows individuals to deduct contributions (within limits) to registered retirement plans. The most common type of plan is a Registered Retirement Savings Plan (RRSP). Amounts contributed to RRSPs must be invested in qualifying investments (typically debt and equity securities). Earnings on assets held within an RRSP are not subject to tax until you withdraw amounts from the plan. Contributions to your RRSP must be made no later than 60 days after the end of the year. Taxpayers who file tax returns are generally notified by CRA regarding how much they can contribute to an RRSP.

The amount you can contribute to an RRSP in a year is based on the income you earned in Canada the prior year. Therefore, in the first year you are resident in Canada, you cannot contribute to an RRSP, since you will not have any earned income in the prior year. The maximum contribution to an RRSP is 18% of your prior year's earned income, minus your prior year's "pension adjustment" (which relates to amounts contributed to pension plans on your behalf, such as employer-provided Canadian or foreign pensions) up to a maximum of the annual limit (the annual limits will be indexed thereafter).

You can make a contribution to either your own RRSP or your spouse's RRSP. The total contributions cannot exceed your contribution room. For example, if your total contribution room is \$22,970 and you contribute \$15,000 to your own RRSP, you cannot contribute more than \$7,970 to your spousal RRSP.

You should seek advice from your PwC representative prior to establishing a plan to understand any tax consequences there may be in your home country.

Withdrawals from RRSPs

You can withdraw amounts at any time from an RRSP, but when you do the amounts are subject to tax. The rate of tax applicable to the withdrawal depends on your residency at the time of the withdrawal:

- If the withdrawal is made while you are resident in Canada, the withdrawals are taxed at normal marginal rates.
- If the withdrawal is made while you are a non-resident, the withdrawal is subject to a 25% withholding tax. This rate may be reduced to 15% by treaty if the withdrawal is in the form of an annuity. This withholding tax may be a final tax or, where beneficial, an election can be made to file a Canadian income tax return to report the RRSP income and pay the tax based on normal rates.
- If you are taxed on the withdrawal from your RRSP in your country of residence at the time, you may be entitled to a foreign tax credit for Canadian withholding tax paid.
- If the withdrawal is made by your non-resident spouse, and he or she has little other income, it may be possible to receive a portion of this withdrawal tax-free.

Interplay between RRSPs and foreign pension plans

As noted, RRSP contributions are based on your “contribution room”. Your contribution room is reduced by your pension adjustment which is meant to reflect contributions made by you or on your behalf to a pension plan, including foreign pension plans. For example, if you maintained your membership in a foreign employer-provided pension plan (such as U.S. 401(k) plans) and continue to accrue benefits in the plan based on your service in Canada, the foreign pension plan accruals will increase your pension adjustment thereby reducing your contribution room. Your PwC representative can provide you with further details.

Part 5: Pre-arrival tax considerations

In this section we discuss specific tax-related matters that may apply to you and that you should consider before arriving.

Stock options

If you hold stock options obtained through your employment, and they are exercised after entering Canada, the benefit derived will be taxed as employment income in the year of exercise, regardless of the source of the option. A foreign tax credit may be available and you may be allowed a 50% deduction (25% for Québec tax purposes) with regard to such a benefit if the options meet certain criteria. If you exercise the option before becoming a resident, you will not have to worry about Canadian tax consequences, unless a portion relates to Canadian services. Of course, you also need to consider how the options will be taxed in your home country and the rate of tax you will be subject to there. Whether and when to exercise stock options is a complex issue and one we would be happy to discuss with you.

Valuing capital assets on arrival

You are deemed to have acquired any capital assets you held at the date you establish Canadian residence at a cost equal to the fair market value of the assets on that date, regardless of when you originally acquired them and regardless of their original cost. This deemed acquisition cost becomes the cost base for purposes of determining any capital gain or loss you may have if you dispose of the assets while in Canada, or for purposes of determining the deemed gain/loss for departure tax purposes. (Departure tax is explained further in Part 6.)

It is a good idea to keep a record of the fair market value of all property you own on the date you arrive in Canada. We can provide assistance determining the fair market value of marketable securities, such as stocks, bonds, and mutual funds. For other types of property an appraisal may be required.

Part 6: Departure tax and reporting requirements when you leave

Canada levies departure tax on residents when they leave Canada. You'll find it much easier to comply with the departure tax and reporting requirements when you leave if you keep track of the value of assets you bring to Canada and those you acquire while here.

Under the departure tax you are deemed to have disposed of your assets (with some exceptions) at their fair market value on the date you relinquish Canadian residency. Accrued gains or losses resulting from this deemed disposition are reported on your Canadian tax return for the year of departure. Half of any net gains resulting from the deemed disposition are included in income and taxed at normal marginal rates.

The departure tax does not apply on certain types of assets, including:

- Canadian real estate
- Canadian business property and inventory
- stock options (they remain taxable in Canada when exercised)
- assets held within RRSPs, company pension plans and certain other pension rights
- assets held within a trust

If you are deemed to have disposed of property when you leave Canada, along with your tax return for the year of departure, you must file Form T1243, Deemed Disposition of Property by an Emigrant of Canada listing the following information:

- the year of acquisition
- the fair market value of the property on the date of your departure
- the adjusted cost base and any gain or loss resulting on the deemed disposition

The adjusted cost base is generally the original purchase price plus acquisition expenses and the cost of additions, improvements and reinvestments.

For marketable securities, such as stocks, bonds and mutual funds, PwC can provide assistance in determining the fair market value. An appraisal may be required for other property.

Reportable assets

If the total value of all property you owned at the time of departure is more than \$25,000, you must file Form T1161, List of Properties by an Emigrant of Canada listing all the properties you own at the time. This form must be filed regardless of whether you must otherwise file a return for the departure year.

Assets that must be listed on this form are essentially capital assets on which departure tax will be due when they are actually disposed of, including:

- Canadian real estate property
- unexercised stock options

Keeping track of your reportable assets – In Appendix A of this guide there is a worksheet you can use to keep track of information concerning your reportable assets.

- bonds
- shares in public and private companies
- jewellery, etc.

Retirement, profit sharing, and other employee benefit plans generally are not considered reportable assets. As well, there is an exemption for personal-use property (such as clothing, household goods, cars, etc.) with a total value of less than \$10,000.

Departure tax and length of residence

If you were only temporarily resident in Canada, which for purposes of departure tax means you have lived here for no more than 60 months during the 10 years leading up to your departure, the departure tax does not apply to property that:

- you owned prior to establishing Canadian residence, or
- you inherited while living here

In other words, if you were a short-term resident, departure tax will only apply on property you acquired while here. Otherwise, all assets will be subject to departure tax whether acquired as a Canadian resident or not. Assets acquired prior to establishing Canadian residency will have a cost basis equal to the fair market value on that date.

Payment of departure tax

Departure tax is due by April 30th of the year after you leave unless you timely file an election to defer it until you actually dispose of the assets. If you wish to make the election you must do so by the normal filing deadline. You may need to provide security to both CRA and MRQ (where resident in Québec) for the tax. CRA and MRQ will accept various items as security, including the assets themselves; however, a letter of credit from a Canadian bank is generally preferred. You need not provide security on the first \$100,000 of capital gains you may have from the deemed disposition.

Post emigration dispositions (from departure)

Where departure tax was previously deferred, and the assets are disposed of in a subsequent year, the previously deferred tax must be paid to CRA (and MRQ) by April 30th of the year after the year of the disposition. If the capital gain upon the actual disposition is also subject to tax in your assignment country, you may be able to claim a tax credit on your federal return for the foreign tax paid.

Part 7: Miscellaneous items

Registered Education Savings Plans

To encourage people to save for their children's post-secondary education, Canada has created Registered Education Saving Plans (RESPs). Contributions to RESPs are not deductible, but income earned in the RESP is not taxed until paid out for education-related expenses to a beneficiary of the plan, typically the child or grandchild of the person making the contributions. There is a lifetime limit of \$50,000 on contributions allowed per beneficiary and numerous other rules. A comprehensive discussion of RESPs is beyond the scope of this guide, but there are some details that are worth noting here.

Contributions to an RESP are allowed only for beneficiaries who are resident in Canada on December 31 and who have Social Insurance Numbers. To be able to contribute to an RESP on your children's behalf, they must accompany you to Canada. If a beneficiary becomes a non-resident, as long as the funds remain in the RESP, tax will continue being deferred. If, however, funds are distributed out of the RESP to a non-resident beneficiary, a flat tax of 25% will apply.

You should consider how your home country may treat the RESP before establishing an RESP or contributing to one. Because each jurisdiction treats such accounts differently, it is impossible to generalize about the treatment. Your PwC representative can advise you further if you choose to establish an RESP.

Canada Education Savings Grant

In addition to RESPs, Canada has established the Canada Education Savings Grant (CESG). The annual CESG is equal to 20% of the RESPs contributed up to a maximum of \$500 (with some additional incentives for lower-income families). The grant room accumulates for a child until the end of the year he/she turns 17, so "catch-up" contributions can be made. The lifetime maximum CESG is \$7,200.

The CESG grant room will only accrue in years the child is a Canadian resident on December 31. If you cease to be a Canadian resident, your dependents will likely cease to be Canadian residents as well, and will not generate any CESG grant room.

Tax-Free Savings Account

The Tax-Free Savings Account (TFSA) is a registered savings account that allows taxpayers to earn investment income tax-free inside the account. Contributions to the account are not deductible for tax purposes, and withdrawals of contributions and earnings from the account are not taxable. Each year every Canadian resident 18 years of age and older will be allowed to contribute up to the maximum limit set for the year (indexed annually) to a TFSA. CRA would determine TFSA contribution room for each eligible individual who files an annual Canadian income tax return, so it may be advantageous to file an income tax return even if you do not have any tax payable.

Similar to RRSPs, unused contribution room can be carried forward to future years, and excess contributions would be subject to tax of one per cent per month, for each month that the excess remains in the plan.

If you subsequently become a non-resident, you would be allowed to maintain your TFSA, and you would not be taxed by Canada on any earnings in the account or on withdrawals. You would not be permitted to make any contributions to a TFSA and you would not accrue any contribution room for a year where you were a non-resident for the entire year. In your year of departure from Canada, you may wish to make a contribution to your TFSA prior to leaving Canada.

You should consider how your home country may treat the TFSA before establishing one. Because each jurisdiction treats such accounts differently, it is impossible to generalize about the treatment. Your PwC representative can advise you further if you choose to establish a TFSA.

Canada Child Benefit

The Canada child benefit (CCB) is a tax-free monthly payment made to eligible families to help them with the cost of raising children under 18 years of age. The CCB might include the child disability benefit and any related provincial and territorial programs.

The Canada Revenue Agency (CRA) uses information from your income tax and benefit return to calculate how much your CCB payments will be. To get the CCB, you have to file your return every year, even if you did not have income in the year. If you have a spouse or common-law partner, they also have to file a return every year.

Benefits are paid over a 12-month period from July of one year to June of the next year. Your benefit payments will be recalculated every July based on information from your income tax and benefit return from the previous year.

Québec Child Assistance Payment

The child assistance payment is a non-taxable financial assistance paid to families with one or more dependent children under 18. The amount of the child assistance payment varies from one family to another and is indexed on January 1 of each year. It is calculated in July of each year based on the number of dependent children under 18 living with the beneficiary, the number of children in shared custody, family income and the type of family (single-parent or two-parent). The annual amount of payments range from year to year. For more information on the current year's amount visit <https://www.revenuquebec.ca>.

In order to be eligible, you must be a Québec resident for tax purposes. Furthermore, if you are not a Canadian citizen, permanent resident (i.e. landed immigrant), or protected person (i.e. refugee), you must live in Canada for 18 months before you will qualify to receive the child assistance payment. It is important to note that you and your spouse must file a Québec income tax return in order to receive the payments.

To apply for the child assistance payment, use the Régie des rentes du Québec's Application for Child Assistance Payments online service or complete the form Child Assistance Payment and send it to the Régie. When your child is born in Québec, you do not have to apply to receive the child assistance payment. When the birth of a child is declared to the Directeur de l'état civil, the child is automatically signed up.

Canada/Québec Pension Plans, Employment Insurance contributions and Québec Parental Insurance contributions

If you are employed in Canada, you must contribute to the Canada Pension Plan (CPP) (or the Québec Pension Plan if you work in Québec), Employment Insurance (EI), and the Québec Parental Insurance Plan (QPIP) if you work in Québec. Both employers and employees contribute to these programs.

Because social security taxes, like CPP and QPP contributions, are generally levied in the country where one works, when working overseas you could be subject to such social security contributions in the foreign country. Canada and Québec have negotiated social security agreements with various countries; under the terms of these treaties, contributions can continue to be made on the person's behalf in the home country instead of the foreign country.

If you have any questions or require assistance regarding your CPP/QPP and/or EI/QPIP coverage or social security taxes in a foreign country, contact your PwC representative. If you have questions about collecting benefits from CPP or QPP, contact Service Canada or the Régie des Rentes du Québec.

Foreign property reporting requirements

If you own (or have a beneficial interest in) foreign income-producing properties with a total cost exceeding \$100,000 while resident in Canada, you must file Form T1135, Foreign Income Verification Statement annually. This form need not be filed during your first year of residency; however, returning residents of Canada do not have this exception.

Certain types of assets, such as assets in a foreign pension plan (for example, a U.S. IRA or 401(k) plan), are not included in determining the \$100,000 threshold. The form must be filed with your tax return and significant penalties can be imposed for failing to file it. If your spouse owns foreign property, he or she may be required to file this form even if there is no requirement to file an income tax return. Refer to Appendix B for details of the deadlines and penalty rates.

Trusts, Partnerships, and Corporations

There are complex rules surrounding the Canadian tax implications of trusts, partnerships, and corporations. If you involved in these, please contact your PwC representative.

Canadian Social Insurance Number/Individual Tax Number

As a newcomer to Canada you will need a Social Insurance Number (SIN). A SIN is a nine-digit identification number assigned to you by the Government of Canada. It is personal and confidential and, because it is unique to you, it is used by the CRA and the MRQ for income tax purposes. To file Canadian federal and Québec tax returns you must have a SIN. If you do not have a SIN, contact your PwC representative for details on how to apply for one.

If you do not qualify for a SIN, but are required to file Canadian income tax returns, you may be eligible to apply for an Individual Tax Number (ITN).

Provincial health insurance coverage

Canada's national health insurance program is administered by the provinces and territories. The insurance program is designed to ensure that all residents of Canada have access to necessary hospital and physician care. Each province and territory determines its own residence requirement for benefits, but there is generally a three-month waiting period to establish eligibility for benefits under the program.

As soon as you establish residence in Canada you should contact the provincial or territorial government for details of the program and to apply for coverage.

To ensure you have health coverage during the waiting period, consider purchasing private health insurance coverage for the interim period. If you have a health insurance plan through your employer find out whether your coverage will continue while you are awaiting coverage under a provincial health insurance plan and/or whether your coverage may supplement the provincial health insurance coverage once it begins.

Deposit insurance

The Canada Deposit Insurance Corporation (CDIC) is a federal Crown Corporation that insures eligible deposits at member institutions for up to \$100,000 per depositor. The CDIC insurance covers things like savings and chequing accounts, term deposits, money orders, drafts, certified cheques, etc., on deposits offered by member institutions. (Most Canadian banks and trust companies are members of the CDIC.) To qualify for CDIC coverage the deposit must be in Canadian currency and payable in Canada. Though many Canadian banks offer accounts denominated in foreign currency, such accounts are not covered by deposit insurance.

Part 8: Tax equalization

In some situations, your employer may send you on a tax equalized assignment. The general purpose of tax equalization is to ensure you do not pay more or less tax than you would have paid had you not gone on foreign assignment. The intention is to ensure that you realize neither significant advantage nor disadvantage due to the differences in income and social security tax costs between your home country and Canada.

The tax equalization calculation determines the approximate amount of tax you would have incurred as an employee resident in your home country (“the hypothetical tax”), and then compares this amount to the taxes you actually incurred in your home country and in Canada.

The tax equalization calculation is based on policies developed by your employer. Before starting your assignment, it is important to know if it is tax equalized or not tax equalized. Please contact your employer or your PwC representative for information about your particular employer’s policy.

Example of a typical tax equalization process

Please note that the process followed by your employer may differ depending on your employer’s specific policies.

1. Your employer or PwC calculates your preliminary hypothetical tax.
2. Hypothetical tax is withheld from your employment income throughout the year.
 - If you are a continuing resident of your home country, this withholding may be remitted to your home country tax authorities.
3. Your employer pays your actual Canadian taxes throughout the year.
 - Consult your employer’s specific policy in case there are Canadian taxes not covered by your employer.
4. After year-end a final hypothetical tax calculation is prepared to determine whether any settlement is required between you and your employer.
 - If too little hypothetical tax was withheld from your employment income during the year, you will be required to pay a settlement to your employer.
 - If too much hypothetical tax was withheld from your employment income during the year, you will receive a settlement from your employer.

Part 9: Special issues for U.S. citizens and “green card” holders

For a more detailed discussion of U.S. citizens refer to the Global Mobility Services country guide United States: Taxation of employees working abroad (outbound). Included below are some specific issues that are relevant for U.S. citizens in Canada. Consult with your PwC representative for more information on any of these topics or if you have questions on matters not discussed here.

U.S. filing requirements

The U.S. requires its citizens and “lawful permanent residents” (also known as “green card holders”) to file U.S. federal tax returns regardless of where they reside. As a result, U.S. citizens or green card holders have to comply with Canadian tax requirements as well as ongoing U.S. federal and possibly state requirements.

There are various deductions or credits that may be claimed by U.S. citizens or green card holders, most notably in a transfer year. We will determine the most advantageous filing position for you but to do so we will need details of your days in Canada and the U.S. Therefore, keep an accurate record of your workdays and days physically present in all countries. The calendar feature of *myMobility* is an easy way of keeping track of this information.

State/city taxes

Depending on the state/city you lived or worked in before moving to Canada, you may be required to continue filing one or more state/city tax returns. Therefore, it is important that you track the states you visit for employment purposes during the year. Your PwC representative will advise you of the required filing position for the state(s).

If you are a continuing resident of the state/city, you should know that some, but not all of the states will allow you to claim either a deduction for foreign income or a foreign tax credit in respect to Canadian taxes paid on Canadian-source income received while resident in the state. In addition, some, but not all of the states will honour the U.S. federal government's income tax treaties. Please consult with your PwC representative to discuss whether your state of residence will allow you to claim deduction/foreign tax credits and/or treaty benefits.

U.S. tax consequences of selling your Canadian principal residence

As noted above (Part 3), if you purchase a home in Canada and occupy it as your principal residence the whole time you own it, so long as you sell it while resident in Canada, or in the first year after you terminate your Canadian residency, the gain will be exempt from Canadian tax. U.S. tax may be a consideration if the gain will not qualify for the exclusion of gain from the sale of a personal residence.

Capital gains up to \$250,000 (\$500,000 if filing status is MFJ) may be exempt from U.S. tax on the sale of your principal residence, where you owned and lived in the house as a primary residence for 2 out of the 5 preceding years. A reduced exclusion may be available for where the sale of the home was as a result of a work-related move.

Paying off a Canadian dollar mortgage

If you pay off or refinance a Canadian dollar mortgage, there may be U.S. tax consequences. In particular, the U.S. Internal Revenue Service (IRS) has ruled that if the U.S. dollar equivalent of a mortgage denominated in a foreign currency at the date the mortgage is paid off or refinanced is less than it was at the date the mortgage was last renewed, the resulting foreign exchange gain is taxable. This will occur if the value of the Canadian dollar has fallen with respect to the U.S. dollar during the period from mortgage renewal to settlement. Foreign exchange losses are not deductible.

If this is the case, to ensure your tax return is accurately prepared, your PwC representative will need to know the following:

- your outstanding mortgage on the date it is paid off or refinanced
- the date of the original mortgage or date last renewed
- whether the mortgage was assumed by the buyer

RRSP/RPP contributions and investment income

The Internal Revenue Code does not recognize RRSPs/RPPs as pension plans, so it generally does not allow the deduction of contributions or deferral of income earned in your RRSP/RPP in any given year. Under the Canada-U.S. Tax Treaty, contributions to a RPP or an employer-sponsored group RRSP can be deducted from your employment income on your U.S. income tax return provided you do not withdraw any of the funds in your RRSP/RPP during the year. You cannot claim a deduction for contributions made to a personal RRSP.

U.S. citizens and green card holders who are owners or beneficiaries of Canadian registered plans, including, in certain circumstances, RRSPs, must comply with special U.S. reporting requirements. These reporting requirements also apply if there are distributions from such a plan.

If you are a resident of a state that does not recognize tax treaties, you will need to both report the investment income earned within the RRSP/RPP and you will not be permitted to claim a deduction for contributions made to the RRSP/RPP on your state income tax return.

Contributions to U.S. pension plans

If your employer makes contributions on your behalf to a 401(k) or other non-Canadian pension plan, the contributions are not taxable in Canada. In addition, contributions you make to a 401(k) or other employer-provided pension plan are deductible for Canadian tax purposes.

Individual retirement arrangements

You cannot deduct for Canadian purposes contributions you make to either a traditional or Roth Individual Retirement Account (IRA). Investment income earned in your IRA while resident in Canada is not taxable in Canada however, investment income earned in your Roth IRA (on contributions made before becoming a resident of Canada) is taxable unless an election to defer the tax on the income is filed with the CRA on or before April 30 for the first year of residence.

Withdrawals from an IRA are taxable in Canada (to the same extent they would be taxable in the U.S.) Lump sum amounts can be transferred from an IRA to an RRSP. Contact your PwC representative for more information about how to do this.

Canadian Registered Education Savings Plans / Tax-Free Savings Accounts

The Internal Revenue Code does not recognize Canadian RESPs and TFSAs, so any income earned within the plans will be taxable in the U.S. in the current year. RESPs and TFSAs are also considered foreign trusts for U.S. tax purposes and therefore additional filings may be required.

Before setting up RESP and TFSA accounts and making contributions to these plans, contact your PwC representative to discuss whether or not it would be beneficial to you.

Social security payments/receipts

Canada and Québec have social security agreements with the United States. Under the terms of these agreements if you are working temporarily in Canada, you and your employer may apply for an exemption from having to make Canada Pension Plan (CPP) or Québec Pension Plan (QPP) contributions for you.

If contributions have been made in both the U.S. and Canada/Québec, the agreements provide for contributions to both systems to be taken into account to meet eligibility requirements for future entitlement of social security benefits from both systems. Under the Canada/Québec-U.S. Tax Convention, benefits you receive from either social security system are taxable only in the country in which you are resident at the time you receive them.

Trusts, Partnerships, and Corporations

There are complex rules surrounding the U.S. tax implications of trusts, partnerships, and corporations. If you are involved in these, please contact your PwC representative.

Canadian Supplementary Pension Plans (SERPs)

There may be significant U.S. tax consequences if you participate in your Canadian employer's supplementary pension plan if you are a U.S. Citizen or Green Card Holder or if you remain a U.S. resident. Your PwC representative will be able to provide you with more details.

Information reporting requirements

If you are a U.S. individual and you own foreign bank accounts or foreign financial assets, you may be required to file special information reporting forms.

1. Report of Foreign Bank and Financial Accounts, FinCEN Form 114

- This form applies to any United States person who has a financial interest in or signature authority or other authority over any financial account in a foreign country, if the aggregate value of these accounts exceeds \$10,000 at any time during the calendar year. If you meet the filing requirement threshold, you must disclose the maximum value during the year of each account. The form must be filed separately from the tax return and must be received by the Department of Treasury before April 15. The most common Canadian accounts that need to be reported on FinCEN Form 114 are regular bank accounts, non-registered investment accounts, RRSP, RESP and TFSA accounts.

2. Statement of Specified Foreign Financial Assets, Form 8938

- This form is used to report all foreign financial accounts and assets held by a U.S. taxpayer living abroad if the aggregate value of all foreign accounts and assets exceeds \$200,000 (or \$400,000 if married filing joint) on December 31 or the aggregate value of all foreign accounts and assets exceeds \$300,000 (or \$600,000 if married filing joint) at any time during the year. If you meet the filing requirement threshold, you must disclose the maximum value during the year of each specified foreign financial asset as well as other information specific to each type of asset. This form must be filed every year with the U.S. tax return. The most common Canadian financial assets that require filing form 8938 are regular bank accounts, non-registered investment accounts, RRSP, RESP and TFSA accounts.

Similar information will therefore be reported on both forms FinCEN 114 and 8938. For further information regarding these reporting rules, please contact your PwC representative.

Appendices

Appendix A

List of Personal Assets

Please provide the following information to your PwC representative:

Assets	Year of Acquisition	Currency	Original Cost (including acquisition expenses)	No. of Units/Shares at Date of Entry to Canada	Fair Market Value of Asset per Unit/Share at Date of Entry to Canada
Private Company Shares					
Public Company		z			
Bonds					
Mutual Funds					
Partnership Interests					
Rental Property					
Other Real Estate					

Assets	Year of Acquisition	Currency	Original Cost (including acquisition expenses)	No. of Units/Shares at Date of Entry to Canada	Fair Market Value of Asset per Unit/Share at Date of Entry to Canada
Jewellery, Art, Coins, and Other Capital Properties					

Appendix B

Summary of Filing Deadlines, Penalties and Interest

Canadian Filing Deadlines

Deadline for filing returns	April 30
Deadline for paying tax due to avoid interest and late-filing penalties	April 30
Deadline for filing Form T1135 Foreign Property Information Return	April 30
Due date for first quarterly installment (if required)	March 15
Deadline for filing T1 return for self-employed individuals	June 15

Penalties and Interest

Late filing of returns (each federal and Québec)	5% + 1% of your balance owing for each full month that the return is late to a maximum of 12 months + compound interest
Failure to file Form T1135, Foreign Property Information Return	\$25 per day for up to 100 days (min. \$100, max. \$2,500)
Failure to file Form T1135 when done knowingly or under circumstances amounting to gross negligence	\$500 per month up to 24 months (max. \$12,000), less any penalties already levied. After 24 months penalty is 5% of cost of foreign property, less any penalties already levied.
For false statements and omissions of Form T1135	Greater of \$24,000 or 5% of the total cost of the foreign assets

Appendix C

Online Resources

PwC Global Mobility Services Information

Your links to a wide variety of up-to-date tax and global mobility information from around the world.

- **Global Mobility Country Guides** – <https://www.pwc.com/gx/en/services/people-organisation/global-employee-mobility/global-mobility-country-guides.html>
The PwC International Assignment Services folios contain information on the taxation of international assignees in various countries. We continually add new folios, so visit this site often. To read one of the titles online, select the country of your choice.
- **Worldwide Tax Summaries** – <https://www.pwc.com/gx/en/services/tax/worldwide-tax-summaries.html>
The Worldwide tax summaries provide an up-to-date overview of the corporate and individual tax rules in operation in over 100 countries.
- **Global Mobility Insights** – <https://www.pwc.com/gx/en/services/people-organisation/global-employee-mobility/global-mobility-insights.html> Information on global legislative developments.

Forms referred to in your Canadian Arrival Guide

You may access the forms referred to in this guide at the applicable tax authority websites:

Canada Revenue Agency website – www.canada.ca

- Form NR74, Determination of Residence Status (Entering Canada)
- Form T776, Statement of Real Estate Rentals
- Form T1243, Deemed Disposition of Property by an Emigrant of Canada
- Form T1161, List of Properties by an Emigrant of Canada
- Form RC66, Canada Child Benefits Application
- Form RC66SCH, Status in Canada / Statement of Income
- Form CTB9, Canada Child Tax Benefit
- Form T1135, Foreign Income Verification Statement

Revenue of Québec website – www.revenuquebec.ca

- Form TP-128-V, Income and expenses respecting the rental of immovable property
- Schedule S, Amount Transferred by a Child 18 or Over Enrolled in Post-Secondary Studies
- Schedule T, Tuition or examination fees

IRS website – www.irs.gov

- Form FinCEN Form 114, Report of Foreign Bank and Financial Accounts
- Form 8938, Statement of Specified Foreign Financial Assets